Sundram Fasteners Ltd

Makes bolts, nuts, powder-metal parts, pumps and drivetrain parts for car, truck and tractor makers in India and abroad, plus fasteners for wind turbines, aircraft and railways.

Concall-tracker report, filed under Q2-2027. Prepared 11 Nov 2026.

1. Snapshot

Number	Value	Plain read
Market cap	Rs 22,522 cr	What the market values the whole company at
Q2 FY27 revenue	Rs 1,761 cr	Quarterly sales, about 30% above a year ago
Q2 FY27 operating margin	15%	Operating profit per Rs 100 of sales, a point lower than a year ago because of steel and aluminium costs
Q2 FY27 profit	Rs 160 cr	Up from Rs 140 cr a year ago
ROCE	17.8%	Return on the money invested in the business: healthy
P/E	about 38	Pricey: investors pay 38 rupees per rupee of yearly profit

2. Concall coverage

Twelve calls read, from May 2023 to Oct 2026, about three and a half years.

Quarter	Date	Transcript read?
Q4 FY23	May 2023	Yes
Q1 FY24	Aug 2023	Yes
Q3 FY24	Feb 2024	Yes
Q4 FY24	May 2024	Yes
Q3 FY25	Feb 2025	Yes
Q4 FY25	May 2025	Yes
Q1 FY26	Aug 2025	Yes
Q2 FY26	Oct 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27	29 Oct 2026	Yes, read in full

Latest concall highlights: Q2 FY27 (29 Oct 2026)

- Revenue up about 30%, exports up 57% (47% of that in real volume, the rest from a weak rupee). Cummins and Navistar schedules improved.
- Margin slipped to 15.7% as steel, aluminium and tools got dearer; management says about 1.5 points is just the pass-through maths and expects margins to expand in H2.
- Second half expected to grow at about the same pace as the first; tonnage up 15-16%.

- US PHEV and engine order for Stellantis billing Rs 150-175 cr this year vs about Rs 50 cr last year; pure EV part still in a lull.
- Wind fastener third-phase expansion to take wind above Rs 500 cr a year; aerospace aiming at Rs 100 cr+ this year.

Business mix and capacity

- Domestic about 70% / exports about 30% of revenue, back up from 25% last year and heading for the old one-third. Exports earn over 20% operating margin.
- Non-auto (wind, aerospace, railways, industrial) is 35-37% of sales, up from 30%; aspiration is 50%. Plants running well above last year, capacity utilisation not stated.

3. Earning trigger thesis

Two drivers: exports climbing back to a third of sales, which carry higher margins, and the non-auto push into wind-turbine and aircraft fasteners, both backed by new capacity. A US order for hybrid-engine parts adds on top as it ramps to peak by the second half of next year.

Trigger	What management said	Evidence so far	Time horizon	Strength
Export recovery	Back to a third of sales; margins expand	Exports up 57% in Q2	FY27	Strong: in the numbers
Wind and aerospace fasteners	Wind above Rs 500 cr a year; aerospace Rs 100 cr+ then Rs 200 cr	Wind grew 30-35% in H1 FY26; third-phase capex ongoing	FY27-FY28	Strong
US Stellantis hybrid order	Peak volume by H2 FY28	Billing Rs 150-175 cr this year	FY28	Moderate: the EV part stalled

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Borrowings expected to moderate, no plan given
New business	Yes	Aerospace taking off, wind expansion, railways (May and Oct 2026)
Margin up	No	Margin fell on raw materials; expansion only expected (Oct 2026)
New management	No	-
New capacity	Yes	Third phase of wind fastener capacity under way (Oct 2026)
Big orders	Yes	Rs 4,000 cr order book referenced; US PHEV order billing (Oct 2026)
Turnaround	No	-
Promoter buying	No	-

Single concrete driver: Higher-margin exports are returning to a third of sales while wind-turbine and aircraft fasteners grow on fresh capacity.

3c. Margin bridge

Margin is about a point below a year ago. Steel, aluminium and tool costs rose sharply; OE customers repay most of it with a short lag, but exports and aftermarket don't fully. Lower fixed cost per rupee of sales offset part of it. Management expects margin to recover as exports grow. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2023	Wind energy revenue to start in Q3-Q4 FY24	Started around Q1 FY25, then grew 30-35%	Partly
2023	Large US EV order to ramp	EV demand stalled; hybrid and engine parts now billing	Partly
May 2026	Wind from Rs 30-35 cr to Rs 50 cr a month	Third-phase expansion ongoing	Too-early
Aug 2026	About 20% growth for FY27	H1 grew 25%, Q2 about 30%	Delivered
FY27	Capex about Rs 400 cr	Rs 281 cr spent in H1, on course	Delivered

The story has been steady for three years: exports, non-auto, steady capex. Management is conservative and rarely gives numbers it can't meet. The only real slip was the EV order, which followed US EV demand down.

5. Bottom line

Durable earning trigger? YES

Exports and non-auto are both growing and already showing in the revenue line, with capacity being added behind them.

Management consistent? YES

Low-key guidance, mostly met. The EV order delay was outside its control and it shifted the same contract to hybrid parts.

> **6. Checkpoints for next quarter**
>
> - Operating margin back above 16% in Q3
> - Exports stay near a third of sales
> - Full-year growth holds at the first half's pace

This is not investment advice. Do your own due diligence.